

China Lithium

Lithium expert call takeaways: A stable price for 2025

- ◆ Expert expects slight surplus in 2025 but lithium price is unlikely to decline further as it is already close to price floor
- ◆ Idle refineries would reactivate if price >RMB80k/t, but higher price may also trigger speculation and restocking interest
- ◆ We expect lithium prices to stabilise, with producers returning to profit; maintain Buy on Ganfeng-H/A and Tianqi-H/A

We hosted a call on 23 January with Mr Huabo Dong, CEO, Youli Strategy. His experience in the industry spans three decades. Here are the key takeaways:

Lithium prices: He believes the price hike in November last year was driven purely by sentiment rather than supply-demand. For 2025, he expects supply to continue to exceed demand. If the spot price exceeds RMB80k/t, idle production capacities may be reactivated, which would result in a surplus >100kt in China. If spot prices stay below RMB80k/t, the surplus is likely to remain under 100kt for the year.

Cost estimate: The average cost for lithium carbonate is at cRMB60k/t and the cost of lower-cost lepidolite projects is RMB65k/t. However, this does not necessarily represent the market's price floor as most refineries do not own their raw material. When accounting for purchasing external raw materials, the cost rises to cRMB70k/t. Therefore, Mr Dong believes the market price floor is RMB65-70k/t.

Supply closures: Unlike overseas companies, Chinese refiners rarely go bankrupt; simply suspending operations in unprofitable periods and resume production when margins improve. Overseas players adopt a more conservative approach, shutting operations quickly when profitability declines and preserving mine life. If prices drop to RMB65k-70k/t, most lepidolite producers would halt production, in Mr Dong's view.

Demand outlook: In 2025, Mr Dong expects demand growth of 25%, driven mainly by expanded EV adoption and energy storage deployment. However, should prices rise to RMB100k/t or higher, stronger demand growth may emerge as speculative activities and downstream restocking gain momentum.

Export restriction: The export restriction on lithium technology from China is symbolic and has limited practical impact. Mr Dong believes resource-rich countries (e.g., Chile, Argentina) unlikely to impose export controls. Despite that, they recognize lithium's strategic importance but remain reliant on exports to fund their economies.

We also see lithium prices stabilising in 2025 with low-cost producers returning to profit: we are cautious short term on seasonality but optimistic on demand from 2Q25 (see [2025 Outlook](#), 17 January 2025).

Key stocks

Company	Ticker	Currency	Current price	TP	Rating	Up/downside	Market cap (USDm)	3m ADTV (USDm)
Ganfeng Lithium H/A	1772 HK/002460 CH	HKD/RMB	20.30/33.60	31.0/43.0	Buy/Buy	52.7%/28.0%	8.8	27.5/226.9
Tianqi Lithium H/A	9696 HK/002466 CH	HKD/RMB	22.90/31.18	34.0/46.0	Buy/Buy	48.5%/47.5%	7.0	6.7/201.9

Source: HSBC, Bloomberg. Priced as of close at 23 Jan 2025

Equities Metals & Mining

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Detailed Q&A

Q1. Review of the lithium carbonate industry in 2024 and overall outlook for 2025

The lithium carbonate market in 2024 was generally poor, with prices declining from the beginning of the year. However, in November 2024, prices finally showed a slight rebound, primarily driven by increased bullish sentiment in the futures market, rather than improvement in the supply-demand balance. Over the year, the market was oversupplied by approximately 120kt. For 2025, the supply is likely to continue to exceed demand. If market sentiment remains bullish, some idle production capacities from 2024 may gradually resume operations, leading to an increase in supply and renewed pressure on prices. If the spot price exceeds RMB80k/t, idle production capacities may be reactivated, resulting in surplus exceeding 100kt in 2025. If spot prices stay below RMB80k/t, the surplus is estimated to remain under 100kt for the year, in Dong's view.

Q2. Industry view of the lithium carbonate price floor

Lithium extraction from salt lakes: Foreign salt lake projects have relatively low costs, while domestic projects are higher. Costs from the "Lithium Triangle" salt lake projects (in South America) is between RMB30k/t and RMB40k/t (inclusive of tax), while domestic projects are around RMB40k/t.

Lithium extraction from spodumene: The cost of lithium extraction from spodumene concentrate is between RMB48k/t and RMB60k/t.

Lithium extraction from lepidolite: This is more complex, with lower-cost projects at cRMB65k/t.

In 2024, lithium extraction from salt lakes contributed c480k/t, accounting for c40% of total production. Lithium extraction from spodumene accounted for 47%, while lepidolite contributed 9%. The remaining small fraction came from recycled lithium. The surplus of lithium carbonate (~100kt) roughly aligns with the production volume from lepidolite extraction. Although salt lake extraction is cost-effective, its contribution (40%) is insufficient to cover total supply.

From a cost perspective, the cost of lithium carbonate is cRMB60k/t. However, this does not necessarily represent the market's price floor, as most lithium refineries processing spodumene do not own their raw material sources and rely on external purchases. When accounting for purchased raw materials, the cost floor rises to cRMB70k/t. Therefore, Mr Dong expects the market price floor to be between RMB65k–70k/t.

Q3. How does the introduction of lithium carbonate futures impact prices?

Lithium carbonate futures were launched on the Guangzhou Futures Exchange in September 2023. In the first half-year of futures trading, lithium companies were not highly motivated to engage in hedging activities. However, by May 2024, most producers began participating in hedging. In 2024, spot prices detached from supply-demand fundamentals and instead followed futures price trends. Spot prices rose with futures prices. Currently, the average price difference between futures and spot is cRMB3,000/t.

Q4. Price volatility and supply response: How much production capacity may shut down at current price?

Upstream mining: In 2024, c10% of lithium concentrate supply was lost due to mine closures. The remaining 90% of supply comes from relatively low-cost sources.

Lowest costs: Greenbushes (Talison mine) produces lithium concentrate at an all-in cost of only USD330/t.

Moderate costs: Pilbara's mines have an average cost of cUSD500/t.

Higher costs: Mount Marion costs cUSD550/t, while Kathleen Valley is cUSD700/t.

Overall, most mines have costs below USD600/t.

Four mines that began production in 2024 were shut down due to high financial and amortization costs, with total costs cUSD900-1,000/t. In Mr Dong's opinion, lithium concentrates costs rarely exceed USD1,000/t, as operations become uneconomical at that point. With lithium carbonate priced at RMB80k/t, mines with costs under USD900/t remain viable. At RMB100,000, higher-cost operations also remain viable. Therefore, RMB80k/t is a critical threshold. Observations from 2024 indicate that if prices exceed this level, Jiangxi-based lepidolite producers resume operations, increasing supply by ~10%.

Lithium refining: It is difficult for refining plants to exit the market, as most lithium salt refining is done in China. Unlike overseas companies, Chinese refiners rarely go bankrupt—they simply suspend operations during unprofitable periods and resume production when margins improve. An industry shakeout might only occur if prices drop to RMB65k-70k/t, at which point most lepidolite producers would halt production.

Q5. What is the typical time frame for establishing new production capacity?

For spodumene, it takes 2-3 years to develop a mine and set up lithium salt refining capacity. A fast-tracked project may take 2 years, but 3 years is the norm. For salt lakes, the timeline is longer, requiring about 5 years from resource development to refining. For example, Ganfeng Lithium's project took nearly 5 years. For foreign companies, the process may take 7–8 years.

Q6. How do you view the cost trend of lithium carbonate? Companies investing in the previous upcycle have relatively high costs. Under the current lithium price, what will they do? Will they push up the industry's cost curve or shut down production?

The cost of brine extraction is stable at RMB30k-40k/t. The technologies involved have matured, so there is little room for significant cost reduction. However, operational efficiencies can still vary across projects. Mining in Africa brings in a significant cost variability. If the ore grade is poor (e.g. 1-2%), costs increase significantly due to higher processing needs. Moreover, inland transport in Africa can reach as high as RMB18k/t of lithium carbonate equivalent. In contrast, sea freight is affordable. Investments in low-grade mines or poorly located facilities during the previous upcycle have resulted in higher costs. These projects are unlikely to be competitive under current prices, especially if costs approach RMB70k/t. As a result, high-cost producers will exit the market first if prices fall further and the overall cost curve may still shift upward due to new projects with higher financial and transport costs coming online.

Q7. How is lithium refining cost for spodumene calculated?

Financial costs: It is cRMB2,000/t for interest payments, amortization, and initial setup. **Labour costs:** Roughly RMB1,700/t, contributing to an overall base cost of cRMB4,000/t. **Processing costs:** About RMB18k/t (including tax). This has risen by RMB2,000-3,000/t compared to pre-2015 levels due to increased energy and raw material costs. Older plants benefit from lower financial costs but face similar labour and processing expenses, maintaining a base cost around RMB18,000/t. However, refining costs for lepidolite are significantly higher, at RMB32k–33k/t (including taxes), making it less competitive.

Q8. What is the demand outlook for 2025?

2024 demand: Lithium Battery Applications: The total demand for lithium carbonate in battery production is c1.03mt. Of this, 85% is for EVs, while the rest is for energy storage systems (ESS) and other battery uses. Non-battery applications (e.g. ceramics, glass) account for around 100,000t per annum. However, these segments have been shrinking slightly due to slower growth in traditional markets. **In 2025:** Mr Dong expects overall growth of 25% in lithium demand, driven primarily by expanded EV adoption and energy storage deployment. If prices remain cRMB80k/t, demand growth could align with his 25% expectation. However, should prices rise to RMB100k/t or higher, stronger demand growth may emerge as speculative activities and downstream restocking gain momentum.

Q9. Will advancements in battery technology (e.g., BYD's second-generation blade battery, CATL's Shenxing battery) drive capacity closure?

Technological advancements alone will not eliminate surplus capacity. Currently, c65% of Chinese EVs use lithium iron phosphate (LFP) batteries, which remain the dominant choice for mid- and low-end vehicles. While advances may marginally increase lithium use, improvements in energy density or recycling efficiencies could offset this effect. Higher-end vehicles with nickel-rich ternary cathodes (e.g. NCM811) may see modest demand increases for lithium carbonate. Domestic LFP materials production capacity is at 4.5mt, with a utilization rate of just 50%.

Q10. How do Chinese and overseas companies differ in their approach?

Chinese firms are more resilient due to state-backed support and a larger domestic market. The refining companies rarely exit the market permanently. Instead, unprofitable operations may be suspended temporarily, only to resume production when prices improve. Many Chinese firms have invested heavily in downstream projects to increase vertical integration.

Overseas players adopt a more conservative approach, shutting operations quickly when profitability declines. In Australia, major producers (e.g. Pilbara Minerals, Talison) prioritize long-term profitability over short-term output maximization, preserving mine life. Non-mainstream mines face stricter financial discipline. Many smaller operations, such as Altura or Alita Resources, have gone bankrupt after just 1–2 years of poor market conditions.

Q11. Which areas of demand growth might exceed expectations?

ESS adoption has a significant growth potential, as demonstrated by recent CATL's 17GWh order. However, a lack of standardized regulations has constrained ESS market expansion, particularly regarding safety standards and liability concerns. If national standards are finalized by 2026–2027, ESS demand may grow substantially. EV battery replacement demand will begin rising by 2026 as early-generation vehicles approach their 5–6 year battery lifespan. Moreover, by 2026–2027, recycling will supplement lithium supply while also driving new demand for processing and refining capacities.

Q12. If lithium carbonate prices stabilise below RMB80k/t, would that drive more shutdowns?

Major producers like Talison, Pilbara, and Greenbushes have not reduced output. Their costs remain competitive below USD900/t. Mr Dong believes only new or small-scale operations with costs exceeding USD900-1,000/t have suspended production. These account for just 10% of total supply, limiting their impact on global markets.

Q13. Price forecast for the next two years

If demand growth meets expectations, prices could range from RMB80-100k/t. This reflects balanced supply-demand conditions. However, if demand underperforms, prices could struggle to stay above RMB80k/t, particularly if speculative activities subside.

Q14. How do you evaluate a lithium refining company's competitiveness?

Resource base: Access to high-grade resources (e.g. Talison's spodumene or SQM's salt lakes) is critical.

Refining capabilities: Advanced technologies and experience ensure consistent product quality.

Pricing power: Battery-grade lithium carbonate prices set the benchmark, with industrial-grade products priced at slight discounts. However, quality differences between manufacturers are minimal, limiting price premiums.

Q15. How does China's export restriction on lithium hydroxide technology affect the market?

These restrictions are symbolic and have limited practical impact. While the intention is to counter US trade policies, foreign firms lack the expertise to replicate China's advanced refining processes. Resource-rich countries (e.g., Chile, Argentina) recognize lithium's strategic importance but remain reliant on exports to fund their economies. They are unlikely to impose strict export controls.

Valuation and risks

	Valuation		Risks
Ganfeng Lithium 1772 HK/ 002460 CH H: Buy A: Buy	Current price: H: HKD20.30 A: RMB33.60 Target price: H: HKD31.00 A: RMB43.00 Upside: H: +52.7% A: +28.0%	We maintain our Buy ratings on both Ganfeng H- and A-shares and keep our target prices unchanged at HKD31.00 and RMB43.00, respectively. For our H-share target price, we use a target PB multiple of 1.2x (unchanged), 0.75 SD below the stock's historical average since 2019 given that the cycle remains at a low point. We applied it to our 2026 BVPS estimate of RMB24.83 (unchanged) based on an exchange rate of HKD-RMB of 1.05 (unchanged). For our A-share target price, we use a target PB multiple of 1.75x (unchanged), applied to our 2026 BVPS estimate of RMB24.83 (unchanged). Our target P/B of 1.75x is also 0.75 SD below the stock's historical average since 2019. Our H- and A-share target prices imply upside of c53% and c28%, respectively.	Key downside risks for both H/A shares: 1) Longer-than-expected ramp-up time of its upstream projects, lithium chemical plants and battery plants; 2) trade tension between China and Australia could impact spodumene imports; 3) lower-than-expected demand growth from EV and ESS; and 4) lower-than-expected investment income amid lower lithium price.
Tianqi Lithium 9696 HK/ 002466 CH H: Buy A: Buy	Current price: HKD22.90 RMB31.18 Target price: HKD34.00 RMB46.00 Upside: H: +48.5% A: +47.5%	We maintain our Buy ratings on both Tianqi H- and A-shares and keep our target prices unchanged at HKD34.00 and RMB46.00, respectively. For our H-share target price, we use a target PB multiple of 0.8x (unchanged), 0.75 SD below the stock's historical average since it listed in 2022 given that the cycle remains at a low point. We applied it to our 2026 BVPS estimate of RMB40.22 (unchanged) based on an exchange rate of HKD-RMB of 1.05 (unchanged). For our A-share target price, we use a target PB multiple of 1.15x (unchanged), applied to our 2026 BVPS estimate of RMB40.22 (unchanged). Our target P/B of 1.15x is also 0.75 SD below the stock's historical average since 2019. Our H- and A-share target prices imply upside of c49% and c48%, respectively.	Key downside risks: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

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Priced at 23 Jan 2025
 Source: HSBC estimates

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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Hold	39%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	7%	(6% of these provided with Investment Banking Services in the past 12 months)

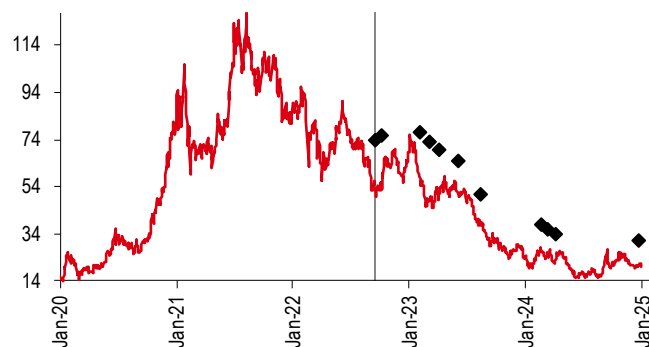
For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Ganfeng Lithium (1772.HK) share price performance

HKD Vs HSBC rating history



Source: HSBC

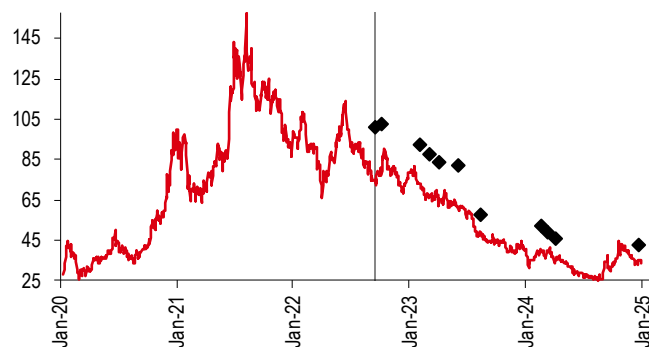
Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	74.00	09 Oct 2022	Howard Lau
Price 2	76.00	31 Oct 2022	Howard Lau
Price 3	77.00	27 Feb 2023	Howard Lau
Price 4	73.00	31 Mar 2023	Howard Lau
Price 5	70.00	28 Apr 2023	Howard Lau
Price 6	65.00	28 Jun 2023	Howard Lau
Price 7	51.00	05 Sep 2023	Howard Lau
Price 8	38.00	13 Mar 2024	Howard Lau
Price 9	36.00	03 Apr 2024	Howard Lau
Price 10	34.00	30 Apr 2024	Howard Lau
Price 11	31.00	17 Jan 2025	Howard Lau

Source: HSBC

Ganfeng Lithium A (002460.SZ) share price performance

CNY Vs HSBC rating history

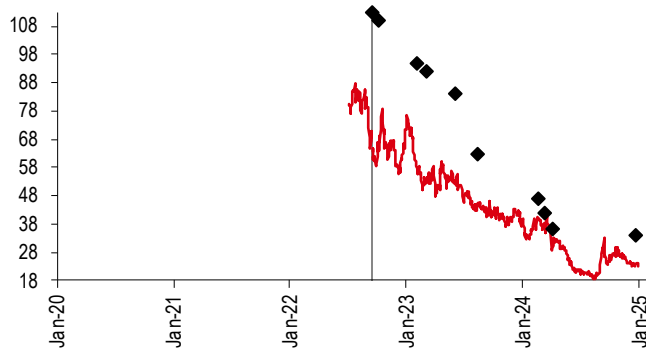


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	101.00	09 Oct 2022	Howard Lau
Price 2	103.00	31 Oct 2022	Howard Lau
Price 3	92.00	27 Feb 2023	Howard Lau
Price 4	88.00	31 Mar 2023	Howard Lau
Price 5	84.00	28 Apr 2023	Howard Lau
Price 6	82.00	28 Jun 2023	Howard Lau
Price 7	58.00	05 Sep 2023	Howard Lau
Price 8	52.00	13 Mar 2024	Howard Lau
Price 9	49.00	03 Apr 2024	Howard Lau
Price 10	46.00	30 Apr 2024	Howard Lau
Price 11	43.00	17 Jan 2025	Howard Lau

Source: HSBC

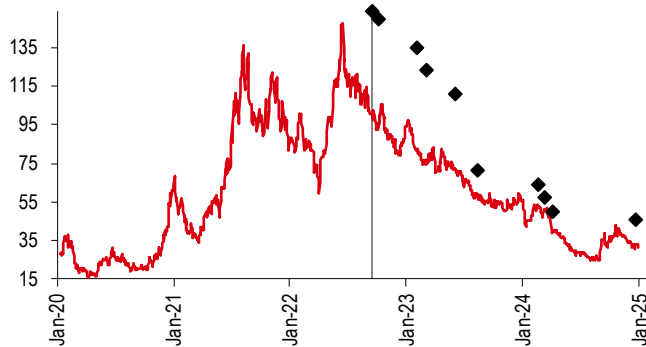
**Tianqi Lithium (9696.HK) share price performance HKD
Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	113.00	09 Oct 2022	Howard Lau
Price 2	110.00	31 Oct 2022	Howard Lau
Price 3	95.00	27 Feb 2023	Howard Lau
Price 4	92.00	31 Mar 2023	Howard Lau
Price 5	84.00	28 Jun 2023	Howard Lau
Price 6	63.00	05 Sep 2023	Howard Lau
Price 7	47.00	13 Mar 2024	Howard Lau
Price 8	42.00	03 Apr 2024	Howard Lau
Price 9	36.00	30 Apr 2024	Howard Lau
Price 10	34.00	17 Jan 2025	Howard Lau

Source: HSBC

**Tianqi Lithium A (002466.SZ) share price performance
CNY Vs HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	154.00	09 Oct 2022	Howard Lau
Price 2	150.00	31 Oct 2022	Howard Lau
Price 3	135.00	27 Feb 2023	Howard Lau
Price 4	123.00	31 Mar 2023	Howard Lau
Price 5	111.00	28 Jun 2023	Howard Lau
Price 6	71.00	05 Sep 2023	Howard Lau
Price 7	64.00	13 Mar 2024	Howard Lau
Price 8	57.00	03 Apr 2024	Howard Lau
Price 9	50.00	30 Apr 2024	Howard Lau
Price 10	46.00	17 Jan 2025	Howard Lau

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
GANFENG LITHIUM	1772.HK	20.30	23 Jan 2025	7, 11
GANFENG LITHIUM A	002460.SZ	33.60	23 Jan 2025	7, 11
TIANQI LITHIUM	9696.HK	22.90	23 Jan 2025	4, 7, 11
TIANQI LITHIUM A	002466.SZ	31.18	23 Jan 2025	4, 7, 11

Source: HSBC

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